

markets behave very differently in deleveragings than in standard recessions. By focusing more broadly through both time and geography, Dalio is able to draw upon past instances that are comparable to the current situation (e.g., Great Depression, postbubble Japan, Latin American defaults).

In regard to the cycles that affect individual countries, Dalio takes an even broader perspective, measured in centuries, which he calls, appropriately enough, “the really big picture.” Dalio believes that all countries move through a five-phase cycle:

Stage 1—Countries are poor and think that they are poor.

Stage 2—Countries are getting rich quickly, but still think they are poor.

Stage 3—Countries are rich and think of themselves as rich.

Stage 4—Countries become poorer and still think of themselves as rich.

Stage 5—Countries go through deleveraging and relative decline, which they are slow to accept.

This is how Dalio describes countries in Stage 4:

This is the leveraging up phase—i.e., debts rise relative to incomes until they can’t anymore. . . . Because spending continues to be strong, they continue to appear rich, even though their balance sheets deteriorate. The reduced level of efficient investments in infrastructure, capital goods, and R&D slow their productivity gains. Their cities and infrastructures become older and less efficient than those in the two earlier stages. Their balance of payments positions deteriorate, reflecting their reduced competitiveness. They increasingly rely on their reputations rather than on their competitiveness to fund their deficits. They typically spend a lot of money on the military at this stage, sometimes very large amounts because of wars, in order to protect their global interests. Often, though not always, at the advanced stages of this phase, countries run “twin deficits”—i.e., both balance of payments and government deficits.

In the last few years of this stage, frequently bubbles occur. . . . These bubbles emerge because investors, businessmen, financial